Investment Thesis on

Sealmatic India

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SOLIDARITY ADVISORS PRIVATE LIMITED
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Sealmatic India (~525 Cr market cap, 480 per share, Emerging Leader)

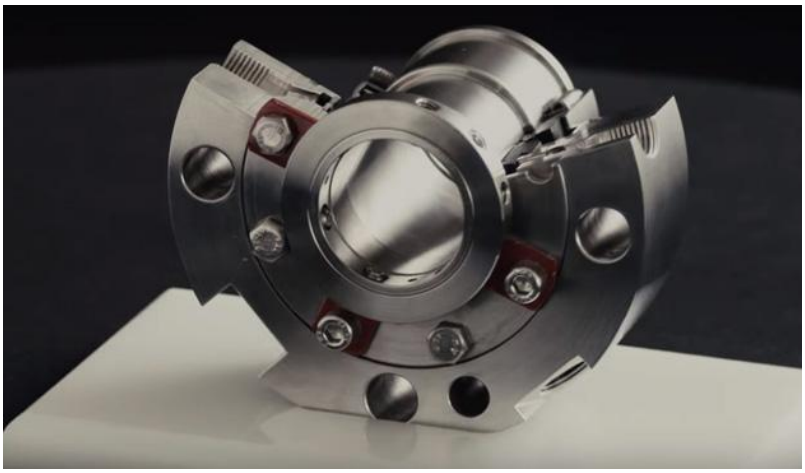
Summary

- Sealmatic is a manufacturer of mechanical seals which prevent fluid leakage primarily for critical applications in oil & gas. They are exploring emerging opportunities in growing industries like nuclear and defense.
- This is a niche segment (low cost item but highly critical that requires technical expertise, stringent approvals & certifications, past track record) and so business economics are favourable (30%+ SS EBITDAM, 40%+ ROIC, debt free). Industry structure is highly favourable in India and globally with 3 MNC dominating and Chinese presence limited outside of China.
- Sealmatic despite being a new entrant has shown solid execution (23% sales CAGR over past decade) and has moved up the value chain into more critical products and is now competing head on with the global leaders in its categories.
- We see opportunity for mid to high teens revenue growth as Sealmatic is a small share of global industry and enjoys competitive edge vs peers (good quality track record, superior cost structure, ability to participate across geographies with speed). Profit growth should be non-linear as aggressive investments made in new projects today at no margin/losses should translate to repeat replacement business at much higher profits for long periods.
- Leadership team are veterans of this industry and inspire trust with their competencies and track record. Management has shown strong willingness to invest behind growth, and we intend to support them with the 15 Cr primary fund raise[1].
- We believe our average buying price (375-415 per share) offers a healthy roadmap to 18-20%+ IRRs. Our variant perception vis a vis the market is that current financials don't reflect true economic reality of the business due to upfront nature of investments needed. Over time as share of replacement revenue rises, we expect EBITDAM to normalize to 30%+ along with better NWC and ROIC.
- Sealmatic is a ~5% position at cost for us today and we would look to use any share price corrections in the future to add to our position subject to cash availability.

What do they do?

Sealmatic manufactures mechanical seals which is an industrial consumable (replacement every 1-2 years) that is used in rotating equipment like pumps to prevent fluid leakage. They are used across industries like oil & gas, refineries, petrochemicals, water management, pharma, paper and pulp, etc. These are considered mission critical products as a seal failure can lead to production halts leading to huge financial losses to the company. Sealmatic also supplies the sealing systems (seal support systems which provide right environment for seal to function without over heating or failure). This is typically provided at nominal pricing in line with industry practise to win new seal business.

[1] https://www.bseindia.com/xml-data/corpfiling/AttachHis/fd327c29-e374-47ba-b5d0-aefa1984836b.pdf



The mechanical seals are primarily of two types:

- **API seals –** Highly engineered, technically complex seals built to the API 682 standard for extreme speed, temperature and pressure. These are used in critical, high-risk environments like oil & gas refineries, petrochemicals, power plants etc. and earn very high gross margin in the replacement market.
- **Non API seals** – These are more standard seals for general industrial use like water handling, waste water management, paint slurry, pulp and paper etc.

Sealmatic's business model consists of 3 parts

Segment	Revenue mix % FY26	How it works
Distributor led	41%	Standard non-API seals sold through distributors to general industrial end users mainly in global markets. This is a stable single digit growth business.
OEM projects & aftermarket	46%	Projects (first sales): seals are supplied to pump OEMs for new refineries at very aggressive pricing for installation. Aftermarket (replacement): once installed, spares and replacement demand go to the original seal vendor for the life of the pump (25–30 years) at a much higher profit. We expect this segment to be the primary growth driver over next few years.
White labelling/others	14%	Sealmatic manufactures mechanical seals that are sold under customers brand name. This is a linear growth story. There is an emerging opportunity for seals in other segments such as defence and nuclear.

Brief history and evolution

- **2011:** Mr. Umar Balwa, after selling his stake in JV with Feodor Burgmann (now EagleBurgmann) in 2007, he founded Sealmatic along with Mr. Hanif Chaudhari, who was with him at Feodor Burgmann.
- **FY12–FY20:** initially focussed on export (70–80% of sales) largely in non-API seals sold through distributors in 50+ countries.
- **FY21–FY22:** Pivoted to Indian market during covid, where customers wanted another credible vendor alongside the Big 3. Sealmatic added in-house seal support systems, applied for and received the API 682 licence and got onto the Engineers India (EIL) approved vendor list for participating in Indian projects.
- **FY23–FY25:** Opened new Kaman manufacturing plant which expanded capacities by 65% alongside original Mira Road facility. Got approvals from multiple end users in middle east (ADNOC, Kuwait (KPC) etc) for API seals. Filed for and received required certifications for nuclear (ISO 19443), defence (DGQA) and marine applications. Signed an exclusive white label partnership with KSB pumps for non API seals.
- **FY26:** Abu Dhabi service centre, service partners in Oman and Kuwait and increasing the installed base in India and specifically in the Middle east market.

Growth prospects

Sealmatic has executed well in a competitive market. Over the last 10 years (FY16–26) Sealmatic grew revenue at ~23% CAGR, EBITDA at ~27% CAGR and PAT at ~41% CAGR. It has hardly had a year of revenue decline, even including Covid.

Conditions for mid to high teens revenue growth and nonlinear profit growth exist for Sealmatic

Over the next 5 years we believe Sealmatic can deliver mid to high teens revenue growth

- OEM projects: low to mid double digits growth rate – Sealmatic will continue to invest in newer projects in India, Middle east and other geographies. Current conflict in Gulf markets can present opportunity in the long run as oil & gas infra would need to be rebuilt. After presence is established in these markets, Sealmatic can potentially enter the European/US markets over time.
- Replacement demand: This is a key profit growth driver. Sealmatic has seeded an installed base of ~1,600 API seals. This installed base should start generating significantly higher profits (API seals sold at ~10x pricing, 80%+ gross margin) when they come up for replacement. We expect the entire installed base of seals today to generate replacement revenue over next few years with upside from new projects that Sealmatic participates in.
- Distribution business: mid-single digit growth rates – This is the legacy base business where growth will be relatively slower given mature industry growth and it's not a focus area for Sealmatic.
- Other segments (OEM while labelling, other seals etc): Sealmatic also does white labelling for some pump OEMs. This should grow at low double digits over next 5 years.
- Increase share from new segments. These include seals to growing domestic industries such as nuclear (ISO 19443 approval), defence (DGQA approval, submarine orders) or high end technologies like dry-gas seals etc.

Margin expansion should drive non-linear profit growth

Replacement revenue carries ~80% gross margin and needs little extra inventory or manpower. We believe the margins can expand up to 30%+ (vs ~15% in FY26) as share of replacement revenue increases and operating leverage kicks in.

Sealmatic is competitively positioned versus peers.

- Sealmatic has built trust with marquee customers such as IOCL, BPCL, HPCL, ONGC, Reliance, KSB, Ruhrpumpen, Johnson Pump, WPIL, Flowmore, ADNOC (UAE), Aramco (Saudi Arabia), and KOC (Kuwait) etc. Sealmatic enjoys past project references and today is in the approved vendor list of EPC cos like Engineers India, L&T, Toyo Engineering and VA Tech Wabag, which is tough to get and is key to participate in big projects.
- While MNCs (Eagle Burgmann, Flowserve, John Crane) dominate this industry, Sealmatic has been gaining share as it can price far more competitively (15-20%+ cheaper) while delivering good quality. As an Indian player, Sealmatic can participate in projects (Russia, Libya, Iraq etc) where MNCs are restricted. Given they're promoter driven, they can operate with far more speed due to faster decision making unlike MNC where decision making is regional.
- Versus other Indian peers (Leak Proof, Hi-Fab etc) Sealmatic offers better quality (more precision, better testing) and participates in more complex API segments whereas peers are focussed on non-critical applications (sugar, paper, chemicals etc).

While there are perceptions of ESG growth headwinds given Sealmatic's high share from oil & gas sector today, we believe the global mechanical seal market is quite sizeable (~$4.5Bn) relative to Sealmatic size (~103 Cr topline) and offers a very long runway for growth. Even the India market is sizeable at ~2,000 Cr and is a growing market. Today's global geopolitical realities suggest that global demand for oil & gas is likely to co-exist with clean energy and Sealmatic over time can derisk by diversifying across new end industries (defense, nuclear etc).

Unique competitive edge

- Mechanical seals enjoy favourable industry structure with limited credible players (3-4 MNC players dominate globally and in India). Even China has limited presence in critical API (oil & gas) related projects outside of the Chinese markets.
- Mechanical seals are low cost item (<10% of pump cost) but are highly critical components as a seal failure in an oil refinery or chemical plant can lead to catastrophic accidents, fires, or fatal injuries and so vendor approval/certifications is very stringent (requires approval from pump, EPC player and end user) and customer stickiness is very high. Established players with a proven track record will enjoy preference over a new vendor who tries to compete on pricing.
- Manufacturing mechanical seals requires specialized material (Hastelloy, duplex alloys etc), strong design, validation & testing processes as they need to withstand extreme pressures, high temperatures and volatile fluids while guaranteeing pump safety.
- Given industry pricing is subdued during initial years of new project investments and seal players are required to make meaningful investments in after sales service to support customers, the roadmap to profitability is quite elongated for a new entrant.
- We expect that the business economics 5 years out should meaningfully improve and Sealmatic can achieve steady state 40%+ pre-tax ROIC as higher share of replacement business will drive improvement in realisations, margins and NWC days.

Why do we want to back this management

Promoters carry with them significant domain experience and are well regarded in this industry basis our channel checks. Umar Balwa was the erstwhile promoter of Feodor Burgmann India for over 2 decades and carries significant experience, customer relationships. Co-promoter Mr. Chaudhary has strong technical knowledge and leads the manufacturing operations. Management bandwidth is being expanded as Mr Chaudhary's sons are also involved in this business.

This is a management team that has demonstrated strong execution, shown strong willingness to invest behind growth (new projects, service centers) while maintaining a pristine balance sheet and are showing strong willingness to move up the value chain and compete with much larger players.

Why we believe our entry valuations are attractive

We believe our average buying price (375-415 per share) offers a healthy roadmap to 18-20%+ IRRs given possibilities healthy revenue growth, improvement in margins and ROIC. For a business that is growing, has a unique technical edge backed by healthy ROIC and is debt free we believe company should conservatively re rate to 20-25x PE over time. Runway for growth can be long as market opportunity is large and Sealmatic intends to diversify into new segments/industries and geographies. While at present they intend to remain focussed on mechanical seals given large opportunity, technical competencies built can be leveraged to foray into precision engineering products in the long run.

Our variant perception vis a vis the market is that current financials don't reflect true economic reality of the business due to upfront nature of investments (Aggressive pricing, sales exhibitions & service centers) needed which in turn distorts entry valuations. This can be seen in their recent financials.

Particulars (Rs Crs)	**FY23**	**FY24**	**FY25**	**FY26**
Sales	59	71	101	103
Gross Profit	36	45	62	60
Gross margin %	*61%*	*63%*	*61%*	*58%*
EBITDA	15	14	23	16
EBITDA margin	*26%*	*20%*	*23%*	*15%*
PAT	11	10	16	10
PAT margin %	*19%*	*14%*	*16%*	*10%*
ROE	14%	11%	15%	9%
ROIC	33%	17%	23%	12%

However, the way the industry operates is more aggressive investments made today can result in stronger terminal value as repeat business is high probability and much more profitable. This is akin to a tightly wound coil spring that gives much greater force when released.

The proposed primary infusion of 15 Cr[2] into Sealmatic is a win-win opportunity as it helps us increase our ownership in Sealmatic while providing growth capital to the company to more aggressively pursue new opportunities. Sealmatic would be ~5% position at cost for us today. Any share price corrections due to micro cap sell offs, delay in earnings due to aggressive investments made or delay in installations would be a buying opportunity for us.

[2] https://www.bseindia.com/xml-data/corpfiling/AttachHis/fd327c29-e374-47ba-b5d0-aefa1984836b.pdf

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